

# Stocks — Owning a Piece of a Company

BEGINNER

## LESSON EXPLAINER

### ■ What Does It Actually Mean to Own a Stock?

A share of stock is a literal, legal unit of ownership in a company. If a company has issued 1 billion shares and you own 100 of them, you own 100 one-billionths of that company — its cash, its brand, its factories, and crucially, its future profits. You didn't lend the company money (that's a bond) — you bought a permanent stake in it, for as long as you hold the shares.

A useful analogy: think of a company like a pizza sliced into a huge number of pieces so millions of people can each own a bite-sized slice. Your slice might be tiny, but it's a real slice — if the pizza (the company) grows bigger, your slice grows with it.

### ■ Real Example: What 100 Shares of Apple Actually Means

Apple has about 14.69 billion shares outstanding. If you owned 100 of them — worth roughly \$33,000 at a recent price of \$333 a share — here's what that stake actually represents.

|                                        |            |
|----------------------------------------|------------|
| Your ownership stake in Apple          | 0.0000007% |
| Profit attributable to your 100 shares | \$840 / yr |
| Actual cash dividend you'd receive     | \$108 / yr |

Apple only pays out about 13% of its profit as dividends (its “payout ratio”) — the other ~\$732 of your attributable earnings stays inside the company, reinvested into new products and growth. That retained profit is part of why a healthy company's share price tends to rise over time, even between dividend payments.

### ■ Real Example: Coca-Cola — The Other 59% of Your Return

Sarah invests \$10,000 in Coca-Cola (KO) stock in January 2004 and holds it, completely untouched, for 20 years to December 2023. Coca-Cola's share price rose from \$25.17 to \$58.93 over that time — solid, but not spectacular on its own. The real story is what happened once her dividends were reinvested every quarter instead of ignored.

|                      | Price appreciation only | Price + reinvested dividends |
|----------------------|-------------------------|------------------------------|
| Share price          | \$25.17 → \$58.93       | \$25.17 → \$58.93            |
| Return               | +134.1%                 | +325.2%                      |
| Value after 20 years | \$23,408                | \$42,523                     |

Same stock, same 20 years, same starting \$10,000. The extra **\$19,115** — **58.8%** of Sarah's total gain — came purely from being a part-owner entitled to a share of Coca-Cola's profits, not from the stock price alone.

## ■ 5 Things Every Shareholder Should Know

1. You own a proportional slice of real assets and profits — not a loan, not an IOU.
2. Shareholders typically get voting rights on major decisions, like electing the board.
3. Dividends are never guaranteed — a company can cut or cancel them at any time.
4. Your maximum loss is capped at what you invested — limited liability protects you from a company's debts.
5. You're one of potentially billions of owners — a single small shareholder rarely has any real influence alone.

## ■ 4 Things to Check Before You Buy a Stock

**Look at the Actual Business.** What does the company actually sell, and to whom? Could you explain its business model to a friend in one sentence? A rising chart is not a business model.

**Check If It Pays a Dividend.** Look up the dividend yield and the payout ratio. No dividend isn't automatically bad — some companies reinvest everything into growth instead.

**Understand It Can Go to Zero.** A single company can fail — a diversified fund spreads that risk across hundreds. Never invest money in a single stock that you can't afford to lose entirely.

**Read the Summary Financials.** Revenue trend, profit trend, and debt level tell you more than a price chart. Most brokers show these for free on a stock's overview page.

**Worth knowing:** none of this is a recommendation to buy Apple, Coca-Cola, or any specific stock — they're used here purely because they're real, well-known companies with public numbers. Every individual stock carries company-specific risk that a diversified fund doesn't.

## ■ Quick Check: 5 Questions

Answer all five before turning the page to check yourself against the answer key.

### 1. What does it actually mean to own a share of a company's stock?

- A. You're guaranteed a fixed interest payment
- B. You own a proportional slice of the company's assets, profits, and voting rights
- C. You've made a short-term loan to the company
- D. You own a piece of that company's debt

### 2. In the Apple example, why was the \$840 in “attributable earnings” from 100 shares so much bigger than the \$108 actual dividend received?

- A. Because the dividend was paid in a different currency
- B. Because Apple's stock price fell that year
- C. Because Apple only pays out about 13% of its profit as dividends and retains the rest
- D. Because the shares were sold before the dividend date

### 3. What are the two ways a stock can make you money?

- A. Only price appreciation
- B. Only dividends
- C. A guaranteed interest rate and a maturity payment
- D. Price appreciation and dividends

### 4. In the Coca-Cola example, roughly how much of the 20-year total return came from dividends being reinvested rather than price appreciation alone?

- A. More than half of the total gain
- B. None of it
- C. Exactly 10%
- D. It's impossible to know

### 5. If a company you own stock in goes bankrupt, what's the most you can lose as a shareholder?

- A. You owe the company's creditors money out of pocket
- B. You lose your entire investment, but no more (limited liability)
- C. You're personally responsible for the company's debts
- D. Nothing — losses are automatically reimbursed

## ■ Quiz Answer Key

**1 B** — A share is a unit of ownership, not a loan — you own a proportional slice of the company itself, unlike a bond, where you're a lender owed a fixed interest payment.

**2 C** — Apple's payout ratio is only around 13% — the company keeps most of its profit to reinvest in the business, rather than paying it all out as cash dividends.

**3 D** — Stocks can gain value two ways at once: the share price can rise, and the company can pay out part of its profit directly to you as a dividend.

**4 A** — 58.8% of Sarah's total 20-year gain came from reinvested dividends, not the share price itself — more than half of her real return.

**5 B** — Shareholders have limited liability: your downside is capped at what you invested. You can lose it all, but a company's creditors can never come after you personally for more.